

DIAMOND TRUST BANK KENYA LIMITED
UNAUDITED GROUP AND BANK RESULTS FOR THE PERIOD ENDED 30 SEPTEMBER 2016

STATEMENT OF FINANCIAL POSITION

ASSETS

	Sep. 2016 Shs 000 Unaudited	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Sep. 2015 Shs 000 Unaudited
Cash (both local and foreign)	4,234,633	4,448,596	4,596,013	4,325,186	3,680,200
Balances due from Central Banks	15,649,594	21,498,371	19,631,636	22,024,966	13,264,420
Kenya Government and other securities held for dealing purposes	-	-	-	-	-
Investment Securities:					
(a) Held to Maturity:					
a. Kenya Government securities	74,147,648	63,582,851	48,940,232	34,310,709	21,701,232
b. Other securities	18,006,485	15,020,208	13,075,635	12,756,206	10,592,104
(b) At Fair Value:					
a. Kenya Government securities	-	-	-	-	-
b. Other securities	-	-	-	-	-
Deposits and balances due from local banking institutions	247,905	237,600	234,535	3,106,403	2,147,814
Deposits and balances due from banking institutions abroad	7,470,394	6,839,238	8,834,111	6,911,078	10,471,119
Income tax recoverable	160,313	162,557	90,947	6,206	162,646
Loans and advances to customers (net)	181,552,891	178,526,591	179,769,225	177,544,871	172,283,909
Balances due from group companies	-	-	-	-	-
Investments in associate	23,113	21,307	22,784	24,077	20,412
Investment in subsidiary companies	-	-	-	-	-
Investments in joint ventures	-	-	-	-	-
Investment properties	-	-	-	-	-
Property and equipment	5,492,022	5,019,686	5,136,741	5,618,767	4,981,048
Prepaid lease rentals	-	-	-	-	-
Intangible assets	1,001,585	1,163,075	1,080,084	595,492	481,143
Goodwill	173,372	173,372	173,372	173,372	173,372
Deferred tax asset	2,150,596	2,133,069	1,709,390	1,735,405	1,337,415
Retirement benefit asset	-	-	-	-	-
Other assets	3,458,230	3,089,445	2,590,843	2,475,859	3,068,077
Total Assets	313,768,781	301,915,966	285,885,548	271,608,597	244,364,911

LIABILITIES

Balances due to Central Bank of Kenya	-	-	-	-	-
Customer deposits	227,422,321	216,114,485	205,969,037	194,051,857	175,103,127
Deposits and balances due to local banking institutions	8,141,021	8,061,500	6,586,687	4,447,675	3,108,218
Deposits and balances due to banking institutions abroad	8,217,907	7,663,336	5,247,327	3,958,723	1,509,963
Other money market deposits	-	-	-	-	-
Borrowed funds	23,333,447	24,791,852	23,644,990	26,141,690	24,629,434
Balances due to group companies	-	-	-	-	-
Current income tax payable	302,514	346,451	924,797	291,958	116,046
Dividends payable	-	-	-	-	-
Deferred income tax liability	-	-	-	-	-
Retirement benefit liability	-	-	-	-	-
Other liabilities	3,795,153	4,033,919	4,265,779	4,411,306	4,148,464
Total Liabilities	271,212,363	261,011,543	246,638,617	233,303,209	208,615,252

SHAREHOLDERS' EQUITY

Paid up capital	1,065,284	968,440	968,440	968,440	968,440
Share premium	7,294,767	7,294,767	7,294,767	7,294,767	7,294,767
Revaluation reserve	(533,223)	(589,344)	(268,235)	(27,970)	(261,207)
Retained earnings	29,242,803	27,818,769	25,320,552	25,293,925	24,217,070
Statutory loan loss reserve	736,019	852,614	1,241,563	-	-
Proposed dividends	-	-	605,275	605,275	-
Capital grants	-	-	-	-	-
Total Shareholders' Equity	37,805,650	36,345,246	35,162,362	34,134,437	32,219,070
Non controlling interests	4,750,768	4,559,177	4,084,569	4,170,951	3,530,589
Total Equity	42,556,418	40,904,423	39,246,931	38,305,388	35,749,659
Total Liabilities and Shareholders' Equity	313,768,781	301,915,966	285,885,548	271,608,597	244,364,911

BANK

	Sep. 2016 Shs 000 Unaudited	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Sep. 2015 Shs 000 Unaudited
Cash (both local and foreign)	2,405,033	2,274,749	2,415,974	2,208,872	1,924,158
Balances due from Central Banks	6,038,064	11,779,528	10,482,408	12,369,273	5,274,077
Kenya Government and other securities held for dealing purposes	-	-	-	-	-
Investment Securities:					
(a) Held to Maturity:					
a. Kenya Government securities	74,147,648	63,582,851	48,940,232	34,310,709	21,701,232
b. Other securities	-	-	-	-	-
(b) At Fair Value:					
a. Kenya Government securities	-	-	-	-	-
b. Other securities	-	-	-	-	-
Deposits and balances due from local banking institutions	247,905	237,600	234,535	3,106,403	2,147,814
Deposits and balances due from banking institutions abroad	1,455,173	2,525,160	3,819,124	1,867,334	4,022,041
Income tax recoverable	-	-	-	-	66,515
Loans and advances to customers (net)	132,492,295	128,364,328	128,167,235	125,817,859	121,399,734
Balances due from group companies	170,406	168,757	227,640	227,794	293,403
Investments in associate	1	1	1	1	1
Investment in subsidiary companies	4,544,025	4,544,025	3,392,468	3,392,467	2,295,253
Investments in joint ventures	-	-	-	-	-
Investment properties	-	-	-	-	-
Property and equipment	3,812,739	3,518,954	3,543,276	3,996,431	3,514,319
Prepaid lease rentals	-	-	-	-	-
Intangible assets	757,921	901,960	870,009	386,186	295,259
Goodwill	-	-	-	-	-
Deferred tax asset	1,859,187	1,859,187	1,430,461	1,430,461	1,178,285
Retirement benefit asset	-	-	-	-	-
Other assets	2,781,041	2,388,664	1,956,986	1,834,113	1,892,306
Total Assets	230,711,438	222,145,764	205,480,349	190,947,903	166,004,397
Balances due to Central Bank of Kenya	-	-	-	-	-
Customer deposits	158,723,010	150,259,739	138,956,150	126,228,706	108,761,502
Deposits and balances due to local banking institutions	8,141,021	8,061,500	6,586,687	4,447,675	3,108,218
Deposits and balances due to banking institutions abroad	7,294,763	7,005,865	4,362,591	3,701,729	1,918,309
Other money market deposits	-	-	-	-	-
Borrowed funds	20,174,728	21,533,136	20,392,335	23,076,632	21,169,471
Balances due to group companies	-	-	-	-	-
Current income tax payable	267,073	326,882	896,432	239,276	-
Dividends payable	-	-	-	-	-
Deferred income tax liability	-	-	-	-	-
Retirement benefit liability	-	-	-	-	-
Other liabilities	2,655,719	2,599,521	3,069,496	3,257,684	2,430,185
Total Liabilities	197,256,314	189,786,643	174,263,691	160,951,702	137,387,685
Paid up capital	1,065,284	968,440	968,440	968,440	968,440
Share premium	7,294,767	7,294,767	7,294,767	7,294,767	7,294,767
Revaluation reserve	366,854	366,854	366,854	366,854	367,703
Retained earnings	24,728,219	23,729,060	21,981,322	20,760,865	19,985,802
Statutory loan loss reserve	-	-	-	-	-
Proposed dividends	-	-	605,275	605,275	-
Capital grants	-	-	-	-	-
Total Shareholders' Equity	33,455,124	32,359,121	31,216,658	29,996,201	28,616,712
Non controlling interests	-	-	-	-	-
Total Equity	33,455,124	32,359,121	31,216,658	29,996,201	28,616,712
Total Liabilities and Shareholders' Equity	230,711,438	222,145,764	205,480,349	190,947,903	166,004,397

STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 SEPTEMBER 2016

	GROUP					BANK				
	Sep. 2016 Shs 000 Unaudited	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Sep. 2015 Shs 000 Unaudited	Sep. 2016 Shs 000 Unaudited	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Sep. 2015 Shs 000 Unaudited
INTEREST INCOME										
Loans and advances	18,388,315	12,329,511	6,199,905	21,347,025	15,229,831	13,445,026	8,967,109	4,481,683	15,264,261	10,829,407
Government securities	6,846,180	4,175,876	1,864,315	4,213,348	2,961,603	5,152,144	3,087,658	1,327,853	2,573,450	1,779,471
Deposits and placements with banking institutions	264,577	224,414	127,348	264,806	196,104	180,562	171,861	103,515	186,779	143,453
Other interest income	-	-	-	-	-	5,115	3,632	1,857	8,687	6,598
Total interest income	25,499,072	16,729,801	8,191,568	25,825,179	18,387,538	18,782,847	12,230,260	5,914,908	18,033,177	12,758,929
INTEREST EXPENSES										
Customer deposits	9,744,129	6,478,444	3,268,853	9,674,934	6,835,756	7,324,211	4,824,116	2,423,834	6,674,287	4,631,482
Deposits and placements from banking institutions	328,688	211,050	100,807	222,914	173,815	240,970	150,904	64,526	122,012	157,234
Other interest expenses	739,948	472,244	244,452	737,124	515,431	641,650	407,273	207,570	579,686	330,242
Total interest expenses	10,812,765	7,161,738	3,614,112	10,634,972	7,525,002	8,206,831	5,382,293	2,695,930	7,375,985	5,118,958
NET INTEREST INCOME	14,686,307	9,568,063	4,577,456	15,190,207	10,862,536	10,576,016	6,847,967	3,218,978	10,657,192	7,639,971
OTHER OPERATING INCOME										
Fees and commissions on loans and advances	765,294	536,879	269,032	993,053	714,291	501,818	347,938	169,769	598,773	435,652
Other fees and commissions income	1,456,289	976,294	482,898	1,780,830	1,262,599	660,389	448,849	210,506	818,936	552,880
Foreign exchange trading income	1,283,574	895,683	389,714	1,763,096	1,272,820	926,502	657,106	267,480	1,060,551	707,580
Dividend income	-	-	-	-	-	58,076	58,076	-	33,300	33,300
Other income	205,606	100,648	38,868	188,847	129,060	100,054	59,041	17,381	108,079	65,679
Total Non-Interest Income	3,710,763	2,509,504	1,180,512	4,725,826	3,378,770	2,246,839	1,571,010	665,136	2,619,639	1,795,091
TOTAL OPERATING INCOME	18,397,070	12,077,567	5,757,968	19,916,033	14,241,306	12,822,855	8,418,977	3,884,114	13,276,831	9,435,062
OPERATING EXPENSES										
Loan loss provision	3,601,159	2,190,674	886,405	2,178,175	1,324,577	2,694,774	1,496,281	631,861	1,556,902	926,986
Staff costs	2,751,081	1,779,367	959,984	3,261,135	2,390,481	1,657,032	1,055,029	583,256	1,974,328	1,394,303
Directors' emoluments	85,591	57,903	27,408	98,882	71,061	49,446	32,950	14,822	56,257	41,234
Rentals charges	489,857	315,192	165,065	542,940	395,090	228,063	143,765	78,914	261,308	197,527
Depreciation charge on property and equipment	646,344	418,292	204,736	772,335	573,612	387,138	248,793	121,809	465,384	346,890
Amortisation charges	192,173	123,085	60,058	213,844	164,494	125,889	81,326	40,293	142,659	111,295
Other operating expenses	2,823,457	1,936,277	983,358	3,282,087	2,415,724	1,470,200	1,044,698	535,537	1,765,186	1,397,181
Total operating expenses	10,589,662	6,820,790	3,287,014	10,349,398	7,335,039	6,612,542	4,102,842	2,006,492	6,222,024	4,415,416
Profit before tax and exceptional items	7,807,408	5,256,777	2,470,954	9,566,635	6,906,267	6,210,313	4,316,135	1,877,622	7,054,807	5,019,646
Exceptional items	-	-	-	-	-	-	-	-	-	-
Profit after exceptional items	7,807,408	5,256,777	2,470,954	9,566,635	6,906,267	6,210,313	4,316,135	1,877,622	7,054,807	5,019,646
Share of associate profit after tax	4,716	3,158	2,700	(1,443)	4,768	-	-	-	-	-
Profit before tax	7,812,124	5,259,935	2,473,654	9,565,192	6,911,035	6,210,313	4,316,135	1,877,622	7,054,807	5,019,646
Current tax	(2,921,915)	(2,066,792)	(865,182)	(3,470,859)	(2,257,201)	(2,441,800)	(1,776,671)	(657,168)	(2,637,978)	(1,730,132)
Deferred tax credit	428,726	428,726	-	505,473	114,717	428,726	428,726	-	376,022	123,845
Profit after tax and exceptional items	5,318,935	3,621,869	1,608,472	6,599,806	4,768,551	4,197,239	2,968,190	1,220,454	4,792,851	3,413,359
Non controlling interests	404,152	244,411	134,961	687,724	537,521	-	-	-	-	-
Profit for the period after tax and non controlling interests	4,914,783	3,377,458	1,473,511	5,912,082	4,231,030	4,197,239	2,968,190	1,220,454	4,792,851	3,413,359
OTHER COMPREHENSIVE INCOME										
Gains from translating the financial statements of foreign operations	(559,474)	(417,559)	(461,607)	(163,375)	(676,658)	-	-	-	-	-
Fair value changes in equity investments	-	-	-	-	-	-	-	-	-	-
Revaluation surplus on property, plant and equipment	-	-	-	-	-	-	-	-	-	-
Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-	-
Income tax relating to component of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Other comprehensive income for the period	(559,474)	(417,559)	(461,607)	(163,375)	(676,658)	-	-	-	-	-
Total comprehensive income for the period	4,759,461	3,204,310	1,146,865	6,436,431	4,091,893	4,197,239	2,968,190	1,220,454	4,792,851	3,413,359
Earnings per Share (Shs per share) - basic and diluted	18.45	12.68	5.53	22.20	15.89	15.76	11.15	4.58	18.00	12.82
Dividend per Share (Shs per share)	-	-	-	2.50	-	-	-	-	2.50	-

OTHER DISCLOSURES

(1) NON -PERFORMING LOANS AND ADVANCES

(a) Gross non-performing loans and advances

(b) Interest in suspense

(c) Total Non-Performing Loans and Advances (a-b)

(d) Loan loss provisions

(e) Net Non-Performing Loans (c-d)

(f) Discounted Value of Securities

(g) Net NPLs Exposure (e-f)

(2) INSIDER LOANS AND ADVANCES

(a) Directors, Shareholders and Associates

(b) Employees

(c) Total Insider Loans and Advances

(3) OFF-BALANCE SHEET ITEMS

(a) Letters of credit, guarantees, acceptances

(b) Forwards, swaps, and options

(c) Other contingent liabilities

(d) Total Contingent Liabilities

(4) CAPITAL STRENGTH

(a) Core Capital

(b) Minimum Statutory Capital

(c) Excess/(Deficiency)

(d) Supplementary capital

(e) Total capital (a+d)

(f) Total risk weighted assets

(g) Core capital/total deposit liabilities

(h) Minimum Statutory Ratio

(i) Excess/(Deficiency) (g-h)

(j) Core capital/total risk weighted assets

(k) Minimum Statutory Ratio

(l) Excess/(Deficiency) (j-k)

(m) Total capital/total risk weighted assets

(n) Minimum Statutory Ratio

(o) Excess/(Deficiency) (m-n)

(5) LIQUIDITY

(a) Liquidity Ratio

(b) Minimum Statutory Ratio

(c) Excess/(Deficiency) (a-b)

GROUP					BANK				
Sep. 2016 Shs 000	Jun. 2016 Shs 000	Mar. 2016 Shs 000	Dec. 2015 Shs 000	Sep. 2015 Shs 000	Sep. 2016 Shs 000	Jun. 2016 Shs 000	Mar. 2016 Shs 000	Dec. 2015 Shs 000	Sep. 2015 Shs 000
Unaudited	Unaudited	Unaudited	Audited	Unaudited	Unaudited	Unaudited	Audited	Unaudited	Unaudited
7,757,805	7,402,105	7,202,441	4,914,257	2,748,097	5,540,401	5,324,914	4,033,289	3,656,066	1,763,640
1,381,664	1,084,338	810,235	639,360	394,759	911,517	737,712	515,878	386,496	205,679
6,376,141	6,317,767	6,392,206	4,274,897	2,353,338	4,628,884	4,587,202	3,517,411	3,269,570	1,557,961
5,244,536	3,988,172	3,546,780	2,820,579	2,137,948	4,442,322	3,266,463	2,309,311	2,061,470	1,557,961
1,131,605	2,329,594	2,845,426	1,454,318	215,390	186,562	1,320,739	1,208,100	1,208,100	-
1,131,605	2,329,594	2,845,426	1,454,318	215,390	186,562	1,320,739	1,208,100	1,208,100	-
-	-	-	-	-	-	-	-	-	-
4,535,402	4,582,197	4,236,817	3,545,443	3,821,943	4,036,386	3,919,749	3,537,644	3,059,775	3,099,954
1,312,579	1,195,568	1,150,391	1,193,080	1,035,689	1,182,793	1,074,238	1,030,094	988,122	928,877
5,847,981	5,777,765	5,387,208	4,738,523	4,857,632	5,219,179	4,993,987	4,567,738	4,047,897	4,028,831
24,838,773	24,832,832	24,064,083	26,673,020	27,894,048	21,183,665	21,129,916	20,912,243	22,523,991	23,093,687
13,263,051	26,754,761	34,843,025	17,944,105	29,783,729	12,620,030	25,384,740	33,157,793	16,489,302	28,225,375
-	-	-	-	-	-	-	-	-	-
38,101,824	51,587,593	58,907,108	44,617,125	57,677,777	33,803,695	46,514,656	54,070,036	39,013,293	51,319,062
					26,294,354	25,805,804	26,026,364	25,420,505	24,004,747
					1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
					25,294,354	24,805,804	25,026,364	24,420,505	23,004,747
					4,207,922	4,245,748	4,893,468	4,878,966	5,219,122
					30,502,275	30,051,552	30,919,832	30,299,471	29,223,869
					176,172,445	175,257,728	174,433,418	171,280,696	167,211,926
					16.5%	17.1%	18.7%	20.1%	22.0%
					8.0%	8.0%	8.0%	8.0%	8.0%
					8.5%	9.1%	10.7%	12.1%	14.0%
					14.9%	14.7%	14.9%	14.8%	14.4%
					10.5%	10.5%	10.5%	10.5%	10.5%
					4.4%	4.2%	4.4%	4.3%	3.9%
					17.3%	17.1%	17.7%	17.7%	17.5%
					14.5%	14.5%	14.5%	14.5%	14.5%
					2.8%	2.6%	3.2%	3.2%	3.0%
					48.5%	47.8%	41.9%	39.0%	30.0%
					20.0%	20.0%	20.0%	20.0%	20.0%
					28.5%	27.8%	21.9%	19.0%	10.0%

MESSAGE FROM DIRECTORS

These financial statements are extracts from the books of the institution. These quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.dtbfrica.com. They may also be accessed at the institution's head office located at DTB Centre, Mombasa Road, Nairobi Kenya.

Abdul Samji
Chairman

Nasim Devji
Managing Director